The Standard Group PLC

Unaudited Group Results for the 6 months period ended 30 June 2021

The Board of Directors of The Standard Group PLC is pleased to announce the un-audited results for the six month period ended 30 June 2021.

Consolidated Statement of Comprehensive Income for the 6 months period ended 30 June 2021

	30 June 2021 (Unaudited) Kshs'000	30 June 2020 (Unaudited) Kshs'000
Revenue	1,596,935	1,396,432
Total operating Costs	(1,602,553)	(1,739,493)
Finance Costs (net)	(81,560)	(73,502)
Loss before income tax	**(87,178)**	**(416,563)**
Income tax credit	25,965	110,434
Loss after tax	**(61,213)**	**(306,129)**
Attributable to:		
Non-controlling interests	(6,566)	(60,433)
Owners of the parent	(54,647)	(245,696)
	(61,213)	**(306,129)**
Earnings per share Basics- Kshs	**(0.67)**	**(3.01)**
Earnings per share Diluted- Kshs	**(0.67)**	**(3.01)**
Dividend per Share - Kshs	**-**	**-**

Consolidated Statement of Financial Position as at 30 June 2021

	30 June 2021 (Unaudited) Kshs'000	31 December 2020 Audited Kshs'000
ASSETS		
Non Current Assets	2,792,562	2,754,854
Current Assets	1,442,763	1,299,986
Total Assets	**4,235,325**	**4,054,840**
EQUITY AND LIABILITIES		
Capital and Reserves		
Share Capital	408,654	408,654
Share Premium	39,380	39,380
Revenue Reserve	419,984	474,631
Capital Redemption Reserve	102	102
	868,120	922,767
Non-controlling Interests	190,245	196,811
Total Shareholders Equity	**1,058,365**	**1,119,578**
Non Current Liabilities	504,504	372,297
Current Liabilities	2,672,456	2,562,965
TOTAL EQUITY AND LIABILITIES	**4,235,325**	**4,054,840**

GROUP RESULTS

The country's economy performed better in 2021 with improvements noted in various sectors, compared to 2020 which was the most affected by the effects of the COVID-19 pandemic. The World Bank projects a 4.5% growth in GDP in 2021, which is then expected to grow past the 5% mark in 2022. It is within this environment that we saw some growth in the volume of business conducted, which had a positive impact on our business, albeit not at the pre Covid-19 levels.

The operating environment continues to improve, with key clients gradually increasing their advertising budgets, while recently launched products have continued to increase their contribution towards revenue growth. The Group's performance for the 6 months period ended 30 June 2021 showed improvement with a 14% revenue increase to close at Kshs. 1.6 billion compared to Kshs. 1.4 billion for the same period in 2020.

Stringent cost cutting measures that the Group adopted in 2020, have been sustained in 2021, leading to an 8% reduction in total operating expenses compared to the same period last year.

The Group's result after tax significantly improved, closing at a loss after tax of Kshs. 61 million against a loss after tax of Kshs. 306 million for the same period last year, representing an 80% reduction in the loss for the period.

Outlook

Revenue generation and recovery remains a priority for the Board and management as they continue to invest in the growth of digital platforms and other new products, while strengthening our legacy products on print and broadcast platforms. Following the launch of the converged newsroom and the revamped Standard newspaper and website in the first half of the year, we are confident there will be improvements in the quality journalism supported by a digital first approach that will cater to the needs of our customers across all platforms.

BY ORDER OF THE BOARD
Millicent Ng'etich
Company Secretary
27 August 2021

Condensed Consolidated Statement of Cashflows for the 6 months Period ended 30 June 2021

	6 Months ended 30 June 2021 (Unaudited) Kshs'000	6 Months ended 30 June 2020 (Unaudited) Kshs'000
Cashflow from operating activities		
Cash generated from operations	225,927	221,084
Interest Paid	(81,560)	(73,502)
Tax paid	(2,013)	-
Net cash generated from operating activities	**142,354**	**147,582**
Cashflows: Investing activities	(179,858)	(124,672)
Cashflows: Financing activities	93,348	(142,334)
Net increase/ (Decrease) in cash and cash equivalents	55,844	(119,424)
Cash and cash equivalents at the beginning of the year	(159,565)	(71,937)
Cash and cash equivalents at the end of the period	**(103,721)**	**(191,361)**

Consolidated Statement of Changes in Equity for the 6 months period 30 June 2021

	Share Capital Kshs'000	Share Premium Kshs'000	Capital Redemption Reserve Kshs'000	Revenue Reserve Kshs'000	Shareholders Equity Group Kshs'000	Non-controlling Interests Kshs'000	Shareholders Equity Total Kshs'000
As at 1 January 2020	**408,654**	**39,380**	**102**	**733,965**	**1,182,101**	**239,109**	**1,421,210**
Loss for the half year	-	-	-	(245,696)	(245,696)	(60,433)	(306,129)
At 30 June 2020	**408,654**	**39,380**	**102**	**488,269**	**936,405**	**178,676**	**1,115,081**
As at 1 January 2021	**408,654**	**39,380**	**102**	**474,631**	**922,767**	**196,811**	**1,119,578**
Loss for the half year	-	-	-	(54,647)	(54,647)	(6,566)	(61,213)
At 30 June 2021	**408,654**	**39,380**	**102**	**419,984**	**868,120**	**190,245**	**1,058,365**